

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Mr Smith and Mrs Smith are a young couple who are nationals and residents in Country U that has entered into a double tax agreement with Hong Kong.

The couple are the founders and owners of a property agency and investment business, currently conducted in Country U by U Limited. U limited is a tax resident company in Country U.

The following is the income statement of U Limited for the year ended 31 December 2021 (expressed in HK\$ equivalent):

	Property agency HK\$	Property investment HK\$	Total HK\$
Revenue (Note 1)	8,000,000	12,000,000	20,000,000
Expense:			
Staff costs – sales team	2,000,000	-	2,000,000
Staff costs – administrative team	1,000,000	2,500,000	3,500,000
Office rental and expense	500,000	500,000	1,000,000
Interest expense (Note 2)	-	4,000,000	4,000,000
Total expenses	<u>(3,500,000)</u>	<u>(7,000,000)</u>	<u>(10,500,000)</u>
Profit before tax	4,500,000	5,000,000	9,500,000
Taxation (Note 3)			<u>(2,850,000)</u>
Profit after tax			<u>6,650,000</u>

Note 1: The property agency business consists of the introduction of tenants and buyers to landlords and sellers in Country U for the leasing and purchasing of property in return for a commission income. The property investment business consists of letting a number of residential units in Country U, owned by U Limited, earning a rental income. Both businesses are closely supervised by the couple who are also directors of U Limited. Regular board meetings are held in Country U where formulation, evaluation and business strategy decisions are conducted. The sales and administrative teams, based in Country U, execute the business strategies.

Note 2: U Limited borrowed mortgage loans from banks in Country U wholly to finance the acquisition of the investment properties. From time-to-time the couple re-negotiate the terms of the mortgage loans.

Note 3: A corporate tax resident in Country U is subject to income tax on its worldwide profit at the rate of 30%. Supplies of goods and services in Country U are subject to Goods and Services Tax ("GST") at 15%.

The couple feel positive towards the vibrant and energetic business environment in the Greater Bay Area ("GBA"), and see an increasing interest amongst property investors based in the GBA towards investment in Country U. Against this background, the couple are planning to restructure their business to capture the above business opportunity.

The restructuring will involve:

- Changing the focus of the property agency business by targeting the marketing and promotion of residential units in Country U available for purchase/ lease to individual investors/ lessees based in the GBA, and earning commission income.
- Relocating the sales team to Hong Kong and renting a new Hong Kong office for marketing, solicitation of customers and customer relationship management.
- Retaining the office and administrative team in Country U for local based support including dealing with property sellers/ lessors, property purchase/ lease contract support, facilitation of purchase price/ lease payment settlement, etc. However, the administrative team will be servicing customers from the GBA only (i.e. no more customers in Country U).
- Currently owned residential units in Country U will be leased to lessees from the GBA only after the existing leases are expired.
- All business strategy and key decision making will continue to be made by the couple.

In order to execute the above business restructuring plan, the couple are considering the following options:

Plan A – New Hong Kong company

The couple will be the shareholders and directors of a newly incorporated Hong Kong company H Limited. H Limited will acquire the entire business (including all residential units in Country U, business assets/ liabilities, outstanding business/ employee contracts, etc.) from U Limited at fair market value. After the acquisition, H Limited will be the owner and operator of the restructured business. H limited will register a branch in Country U housing the office and the administrative team in Country U. U Limited will be liquidated once the business sale is completed.

Plan B – New Hong Kong branch

U Limited will be the owner and operator of the restructured business, and will establish a Hong Kong branch by obtaining (1) Part XVI registration under the Companies Ordinance; and (2) business registration under the Business Registration Ordinance. The Hong Kong branch will house the Hong Kong sales team and be responsible for running the new Hong Kong office.

At this stage, the couple have not decided whether they will relocate from Country U to Hong Kong to manage the restructured business.

Question 1 (9 marks – approximately 16 minutes)

Under the double tax agreement between Hong Kong and Country U, the tax residency of a corporate taxpayer can be determined by reference to where the corporation is normally managed or controlled. Where a corporate taxpayer is a resident of both sides, it will be deemed to be resident only of the side in which its place of effective management is situated. The term "normally managed or controlled" has the same meaning as that appears in the double tax arrangement between mainland China and Hong Kong.

Required:

- (a) Explain the meaning of "normally managed or controlled" in the context of double tax agreement and the relevant Departmental Interpretation and Practice Notes ("DIPN").

By reference to the case information, recommend TWO possible business activities that are relevant in determining the location where U Limited is normally managed or controlled before restructuring.

(5 marks)

- (b) Based on the TWO business activities you suggested in (a), evaluate the effect (including how the location of effective management will change) and conclude on the tax residency of U Limited (under Plan B) and H Limited (under Plan A) if the couple decide to go ahead with the business restructuring, and personally relocate and reside in Hong Kong for the long term.

(4 marks)

Question 2 (20 marks – approximately 36 minutes)

The couple have decided to relocate and reside in Hong Kong for the long term. It is expected that the financial position of the restructured business in the first year will change in the following manner:

- Commission income from property agency business will increase by 50% to HK\$12,000,000.
- Hong Kong office rental and expenses amount to HK\$2,400,000.

Required:

- (a) In the context of the Inland Revenue Ordinance ("IRO"), discuss whether there is any difference in the Hong Kong taxation of income under Plan A and Plan B.

No discussion on Permanent Establishment ("PE") in the context of the IRO and double tax agreement is required.

(8 marks)

- (b) Advise TWO typical tax or commercial issues, from the perspective of Country U, for which the couple should seek consultation from an advisor in Country U before making the decision to go ahead with Plan A.

Hint: You are suggested to give a list of general questions for each issue to be checked with professionals to illustrate your understanding of the issue and the impact it may have on the restructured business. No specific answer to your question is required.

(4 marks)

- (c) Using the financial results of U Limited for the year ended 31 December 2021 and the additional information stated above as reference, project the assessable profits of H Limited under Hong Kong profits tax under Plan A, taking the assumption that 50% of the commission income is attributable to the work of the branch in Country U (ignoring the effect of overseas tax and double tax relief).

Give an explanation for the tax treatments on revenue from property agency and investment, and interest expense.

(8 marks)

Question 3 (11 marks – approximately 20 minutes)

With the expectation to reside in Hong Kong for the long term, the couple are considering the purchase of a new residential unit jointly from a developer in Hong Kong for their own residence within one year after their arrival in Hong Kong.

Required:

- (a) Advise the Hong Kong stamp duty payable for the above property purchase. Explain where exemptions are applicable to the couple.

(5 marks)

- (b) The property agent indicated that the seller developer is interested in the business of H Limited, and is willing to sell the residential unit (listed price at HK\$20 million) to the couple by taking a 5% shareholding in H Limited (worth HK\$2 million based on net book value) as the transfer consideration and state the same in the agreement for sale.

Explain how the stamp duty will be levied on the above transactions.

(6 marks)

Question 4 (10 marks – approximately 18 minutes)

Being unfamiliar with the Hong Kong tax environment, the couple will appoint your firm to provide tax advisory and compliance services on the conditions that your firm should:

- adhere to their instructions on tax treatments adopted in the tax return without question.
- take the information provided by the couple as accurate without question.
- destroy all work papers and deliverables within three days after delivery of the service.

Also, after realising Hong Kong and Country U are signatories to a Multilateral Competent Authority Agreement, the couple are very concerned with the possible exchange of the financial information of H Limited under Common Reporting Standard ("CRS"), when H Limited opens a bank account with a bank in Hong Kong before the couple physically relocate to Hong Kong.

Required:

- (a) Outline the information exchange regime under CRS and discuss whether the financial information of H Limited will be exchanged under CRS.

(4 marks)

- (b) As the preparer of the tax engagement service proposal, explain to the Partner your position and recommend the actions that the firm should be prepared to take in response to the couple's requests, before and after the acceptance of the tax engagement.

(6 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (13 marks – approximately 23 minutes)

Betty is a fresh university graduate majoring in visual arts. In late 2020, her father passed away and she inherited a residential property located in Cheung Chau ("Cheung Chau Property"). The Cheung Chau Property was let out at a monthly rent of HK\$9,800 inclusive of rates and government rent throughout the year of assessment 2021/22.

On 30 May 2021, Betty pledged the Cheung Chau Property to a bank and obtained a mortgage loan to acquire a car parking space in Shatin ("Shatin CPS") for investment purpose. She could only let out the Shatin CPS from 1 February 2022 at a monthly rent of HK\$3,800.

In August 2021, Betty started her sole-proprietorship business, namely B's Art House, as a painting instructor. She rented a studio in Kwun Tong from the landlord to conduct the painting classes. Up to 31 March 2022, she made profits of HK\$180,000 (after all necessary tax adjustments) from the painting classes. Moreover, she found that there was surplus space in her studio, thus she entered into a lease agreement to let part of the studio to her friend at a monthly rent of HK\$2,700 since 1 November 2021.

During the year of assessment 2021/22, Betty paid interest of HK\$10,000 for the mortgage loan (i.e. HK\$1,000 × 10 months). She also paid government rent of HK\$2,000 and HK\$800 for the Cheung Chau Property and the Shatin CPS respectively (rates of both properties were fully waived).

Required:

- (a) Betty wonders if B's Art House qualifies for the two-tiered profits tax rates. Identify and analyse the relevant considerations for Betty.
(3 marks)
- (b) Compute the property tax and profits tax liabilities of Betty for the year of assessment 2021/22. Assume B's Art House is eligible and has elected for the two-tiered profits tax rates. Ignore provisional tax.
(4 marks)
- (c) Assume Betty is eligible to elect for Personal Assessment. Analyse, with computation, whether it is advantageous for her to elect for Personal Assessment for the year of assessment 2021/22.
(4 marks)
- (d) Betty told you that she had not received any tax return for the year of assessment 2021/22 from the Inland Revenue Department as at 1 July 2022. Explain Betty's obligation as a taxpayer in this respect.
(2 marks)

Question 6 (12 marks – approximately 22 minutes)

Juno has been employed by Bright Future Limited ("BFL"), a Hong Kong listed company, since 2015. BFL operates a long-term incentive plan ("the Plan") under which share options are granted to selected employees. On 15 April 2019, BFL granted 150,000 share options to Juno. Every six months thereafter until 15 April 2022 (i.e. 15 October 2019, 15 April 2020 and so on), 25,000 out of the 150,000 share options would vest to Juno.

On 31 May 2021, Juno exercised all the share options vested at that point. He paid HK\$1,000 brokerage fee for the exercise of the share options, in addition to the strike price of HK\$2 per share.

The closing prices of BFL on the relevant dates are extracted below:

Date	Closing price of BFL
	<u>HK\$</u>
15 April 2019	6.0
15 October 2019	5.8
15 April 2020	5.5
15 October 2020	5.8
15 April 2021	5.9
31 May 2021	6.2

Due to travel restrictions, Juno stayed in mainland China during the year of assessment 2020/21 and did not render any services in Hong Kong. He stayed and rendered services in Hong Kong for more than 60 days during both years of assessment 2019/20 and 2021/22.

On 1 September 2021, Juno was appointed as a director of Bright Future Services Limited ("BFS"), a wholly-owned subsidiary of BFL in Hong Kong. BFS has provided one of its owned flats to Juno as his residence rent-free since then.

For the year of assessment 2021/22, Juno received salaries income of HK\$1,200,000 (HK\$100,000 × 12 months) from BFL, and director's fee of HK\$200,000 from BFS.

Required:

With reference to the relevant provisions of the IRO, explain the tax treatment and compute the amount to be included as Juno's income chargeable to salaries tax for the year of assessment 2021/22 in respect of the following items:

- (a) Share options granted under the Plan. (8 marks)
- (b) Provision of rent-free residence by BFS. (4 marks)

Question 7 (13 marks – approximately 23 minutes)

Tommy is an experienced software engineer. He left his former employer in April 2020 after more than ten years of service.

During an alumni gathering in May 2020, Tommy met his old friend who worked in Famous Promotion Limited ("FPL"), a Hong Kong company engaged in the provision of marketing solutions. His friend told him that FPL was going to launch a new promotion program for one of its clients through a mobile phone application ("Mobile App"). FPL was seeking a software engineer to handle the technical aspect of the Mobile App. Through a formal application process, Tommy was awarded a contract by FPL, the main terms of which are listed below:

- (1) He had to design, develop, test and maintain the Mobile App in accordance with the requirements of FPL and its client.
- (2) The whole project would be completed in mid-February 2021. He should adhere to the schedule set for the project and provide deliverables timely.
- (3) He would be entitled to a contract sum of HK\$200,000 which would be payable by phases according to the percentage of completion of the Mobile App.
- (4) He was required to attend meetings with FPL and its client as and when necessary. Other than that, he had no fixed working hours and location.
- (5) FPL and its client would not reimburse any costs and expenses incurred by Tommy for the project.
- (6) There was no provision restricting Tommy's work with other organisations during and after the contract period.

Required:

Assume you are Sammie Wong, and Tommy has engaged you as his tax advisor. Prepare a memo to Tommy to advise, with reference to the relevant provisions of the IRO and legal principles, the tax implications arising from the contract sum he received under his contract with FPL.

Note: A maximum of 2 marks for communication skill and 2 marks for analytical skill will be awarded.

(13 marks)

Question 8 (12 marks – approximately 22 minutes)

Strong Gym Limited ("SGL") was incorporated as a private company in Hong Kong in 2015. It closed its accounts on 30 June annually.

After filing its profits tax return for the year of assessment 2020/21, SGL received a notice of profits tax assessment with issued date of 15 July 2021 showing the following particulars:

	2020/21 Final Tax	2021/22 Provisional Tax
	HK\$	HK\$
Assessable profits	600,000	600,000
Tax payable	39,500	49,500

The due date of the total tax payable of HK\$89,000 was 30 November 2021.

SGL experienced a severe downturn in the year ended 30 June 2021. From its management accounts, the company was expected to make profits of HK\$150,000 at most for that year. The directors of SGL were planning to close the company by the Chinese New Year of 2022. SGL finally ceased business on 31 January 2022 and applied for a notice of no objection for deregistration under s.88B of the IRO.

SGL's books and records showed, among others, the following details:

- (1) In October 2021, SGL received a gratuitous cash sponsorship from one of its customers to support the company's daily operation.
- (2) By mid-January 2022, SGL had sold all of its fitness equipment, which had previously been included in the pooling system for claiming depreciation allowances. SGL received total sale proceeds of HK\$100,000. Loss on disposal charged in the statement of comprehensive income was HK\$20,000 and the written down value brought forward of the fitness equipment as shown in the depreciation allowances schedule was HK\$38,000.

Required:

- (a) **SGL would like to apply for a holdover of provisional profits tax for the year of assessment 2021/22. Advise the deadline by when it must file the holdover application, and the possible grounds for the application.**
(4 marks)
- (b) **With reference to the relevant provisions of the IRO:**
 - (i) **Advise the year of assessment in which SGL ceased business, and the basis period of SGL for that year of assessment. Explain your answers.**
 - (ii) **Explain the tax treatment of the gratuitous cash sponsorship received from the customer.**
 - (iii) **Explain the tax treatment of the loss on disposal recognised.**
 - (iv) **Compute the balancing adjustment required under the pooling system in respect of the fitness equipment sold. Explain your answers.**

(8 marks)

* * * END OF EXAMINATION PAPER * * *